NVIDIA: the stock is a bet on duration

Yuqi Qiu • Independent equity research • Information through 2026-11-07 Beijing • Cautious at USD 186.64

Our call. The working central value is 15.5% below the USD 186.64 reference. The quote is nearly halfway between Central and the extended high-return path; assigning only 10% weight to Conservative requires roughly 59% weight on extended high returns. These are illustrative weights, not measured probabilities. We want evidence of accepted systems, utilization and collections before paying for that duration.

USD 158
Working central DCF/share

USD 216
Extended high-return trial/share

USD 1.85
Value/share per USD 10bn durable net-new China sales

What the valuation requires

Comparable path	FY2028 revenue	FY2033 revenue	Current DCF/share
Conservative stress	USD 465bn	USD 617bn	USD 103
Working central	USD 606bn	USD 987bn	USD 158
Extended high return	USD 606bn	USD 1.459tn	USD 216
Market reference	—	—	USD 186.64

Management's preliminary FY2028 outlook implies about 70% growth. A test granting that growth and 72.5% gross margin for FY2028, while retaining later conservative economics, yields **USD 145.41/share**. A common-assumption matrix gives **USD 172** for 70% FY2028 growth followed by Central economics, yet **USD 195** for 40% FY2028 growth followed by Long-duration economics. Sustained customer returns matter more than the first strong year.

Three findings

Limited China access has modest per-share value. At USD 1.85/share per USD 10bn of perpetual incremental sales, closing the USD 41.23/share gap from the FY2028 test to market would require roughly USD 223bn of recurring China sales. That exceeds NVIDIA's FY2026 revenue. U.S. licenses, Chinese approval, deliverable orders, tariff economics and global supply displacement all constrain the actual value.

Customer financing creates correlated exposures. NVIDIA disclosed USD 279bn of supply and capacity commitments, a USD 105bn capped residual-value guarantee on the PORTS site leased to an OpenAI affiliate, and rising receivables. Weak customer returns could hurt new orders, cash collection and guarantee recoveries together. The guarantee cap is maximum exposure, not expected loss.

Policy changes the order calendar before the terminal value. A USD 10bn revenue tranche delayed one year costs about USD 0.008/share in a stylized test; cancelling the single-year tranche costs about USD 0.091/share. Repeated permanent cancellations would matter much more. No national order loss is inferred from the midterm election.

Next test and falsifiers

2026-11-17 Q3 release: compare sales with the USD 108bn guide and examine Q4 outlook, accepted systems, receivable collection and inventory. Sustained utilization and margins would weaken our caution; slower collections, deferred acceptance or lower realized prices would strengthen it.

Method and disclosure. Values are current analyst scenarios as of 2026-11-06, awaiting native Excel sign-off; no formal target or rating. WACC 10.2%, terminal growth 2%, terminal ROIC 25%. Nasdaq historical Close/Last is not certified NOCP. The author reports no NVDA holdings, related derivatives or other financial relationship with NVIDIA. FY2026 10-K FY2027 Q2 10-Q PORTS 8-K